

Global Economic Development

Five Top-Level Issues in the Political Economy of Development

DWA 103: Global Political Economy | Week 11 | April 7–9, 2026
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Issue	Core Question
I. The Role of the State	Predator, protector, or engine?
II. Markets, Growth & Poverty	Does the rising tide lift all boats?
III. The Washington Consensus	Stiglitz vs. the orthodoxy
IV. Institutions & Collective Action	Why can't poor countries just reform?
V. Development for Whom?	Beyond the three orthodoxies

PART I

The Role of the State

Predator, protector, or productive engine? Three theoretical traditions offer competing answers.

Olson's "Stationary Bandit" Model

- **Roving bandits** loot and leave — no incentive to invest.
- **Stationary bandits** settle down — provide public goods to maximize long-term extraction.
- **Democracy** widens the encompassing interest to the median voter.

Key Political Economy Concepts

- **Public Good:** The state provides order because a stable tax base requires it
- **Moral Hazard:** State intervention can breed reckless behavior by protected actors
- **Principal-Agent:** Bureaucrats may pursue their own interests rather than the public's

Theory Triangulation: Three Views of the State

Liberal	Neomercantilist	Marxist
Night watchman — enforce contracts, then step aside. Industrial policy creates moral hazard. (State = referee)	Developmental engine — List's "productive" power. Build national capacity via infant industry protection. (State = player on the field)	Instrument of class domination — the state serves capital. Reform within capitalism is inherently limited. (State = rigs the game)

Case study: Singapore's developmental state vs. IMF structural adjustment in Sub-Saharan Africa.

Data: The Return of Industrial Policy

- Industrial policy interventions have **tripled since 2019** (Global Trade Alert / IMF NIPO, 75 jurisdictions, 94% of global GDP).
- Motive shift: national security and supply-chain resilience now account for **over half** of all Western measures — displacing climate as the primary justification (by 2024–25).

The World Bank's Intellectual U-Turn

From "get the state out" to "here's the manual":

Year	Milestone
1989	Washington Consensus codified — liberalize, privatize, deregulate
1993	East Asian Miracle report — Bank downplays its own finding that state-led policy drove growth
2008	Stiglitz declares the Consensus dead; financial crisis exposes market fundamentalism
2020–23	CHIPS Act, IRA, EU Green Deal — advanced economies embrace industrial policy
Mar 2026	Industrial Policy for Development published — 183 countries surveyed; 15 policy instruments cataloged

- 183 of 183: All surveyed nations target at least one industry**
- 80%: of World Bank economists report client governments seeking industrial policy advice**

World Bank Policy Toolkit (Ranked by Risk)

Tier	Approach	Guidance
1	Enabling Institutions	Prerequisite: rule of law, accountable agencies, macro stability, infrastructure
2	Public Inputs	Low cost, low risk: skills development, industrial parks, market access assistance
3	Microeconomic Incentives	Costly, use as last resort: subsidies, tariffs, local content rules — require careful monitoring
4	Macroeconomic Interventions	Highest risk: exchange rate devaluation, R&D; credits — "invariably self-defeating" for small economies

"Governments in developing countries are botching the job far too often — but not because industrial policy itself is the wrong choice. It's because governments usually resort to blunt instruments, opting for the bludgeon of sweeping tariffs and subsidies over the scalpel of industrial parks and skills-development programs." — Indermit Gill, World Bank Chief Economist

PART II

Markets, Growth & Poverty

Does the rising tide lift all boats? Basu's central puzzle frames the paradox of global growth.

5×	800M+	80:1
Global GDP growth since 1960	Still live on <\$2.15/day	Richest-to-poorest country income ratio

Why Markets Fall Short

- **Market Failure:** Missing credit markets, information asymmetries, negative externalities — real markets don't behave like the textbook
- **Neoclassical Assumptions:** Perfect knowledge, many participants, free entry — rarely hold in developing economies
- **Economies of Scale:** Integration lets countries specialize, but who captures the gains? Ability to scale is unequally distributed

Key Data: Global Poverty

- Poverty rate fell from **~44% (1990) to ~9% (2024)** at the \$3.00/day line (World Bank PiP, 2021 PPP).
- **Geographic concentration shifted:** In 1990, half of extreme poverty was in East Asia. By 2024, two-thirds is in Sub-Saharan Africa.

China's exit from poverty didn't eliminate the problem; it relocated it.

Key Data: Global Inequality (1980–2022)

- **Between-country inequality:** Fell sharply (ratio from ~21 to ~9) — convergence driven by China and India.
- **Within-country inequality:** Rose steadily (ratio from ~10.5 to ~18) — the top 10% pulling away everywhere.

The two lines crossed around 2000: inequality within countries now exceeds inequality between them.

PART III

The End of the Washington Consensus

The shift from "get prices right" to "get institutions right" — Stiglitz argues the Washington Consensus overcorrected.

Washington Consensus (c. 1989)	Post-Washington Consensus
Liberalize trade Privatize state enterprises Deregulate markets Get prices right Fiscal discipline	Markets + institutions Governance and rule of law Social safety nets Context-specific reforms "Getting institutions right"
<i>Logic: Neoclassical Assumptions</i>	<i>Logic: Transaction Costs</i>

Stiglitz: The question isn't whether the state should intervene, but how.

PART IV

Institutions & Collective Action

Why can't poor countries just adopt good policies? Three interlocking traps explain the paralysis.

- **Collective Action / Free Rider:** Dispersed populations can't organize; concentrated elites block reform (Olson)
- **Median Voter:** Only works in functioning democracies — most of the developing world lacks this mechanism
- **Aid Architecture / Principal-Agent:** Donors can't monitor recipients; generates moral hazard — borrow recklessly, expect bailouts

The Counter-Argument: Pan-African & Pan-Asian Alternative

- The problem isn't domestic institutional failure — it's the **international architecture** itself.
- Development isn't a collective action problem to solve; it's a **power structure to contest**.

PART V**Development for Whom? Beyond the Three Orthodoxies**

Three alternative lenses challenge the dominant growth paradigm:

Feminist Critique (CWE Ch. 12)

GDP counts what men do, ignores what women do. Structural adjustment cut social spending that disproportionately affected women.

9% of GDP	351M	+20% GDP
Unpaid care work value (75% by women)	Women in extreme poverty (projected by 2030)	Estimated gain from closing gender gap

A failure of measurement itself. GDP rose; women's actual welfare fell. The metric is the market failure.

Environmental Critique (CWE Ch. 13)

Growth-oriented models treat ecological destruction as an externality. Jacks (1939): development as ecological extraction.

1.7 Earths	27 tons	+113%
Needed at current use (80% in ecological deficit)	High-income footprint/person (vs. 2 tons in low-income)	Global material footprint growth since 1990

High-income nations run ecological deficits and import biocapacity from developing countries, externalizing the ecological cost of their GDP.

Pan-African Critique (CWE Ch. 9)

Du Bois & Garvey: economic solidarity and self-determination as precondition for development, not its byproduct.

\$587B	\$191B	-\$396B
Africa's annual capital flight (AfDB 2025)	Total capital inflows (FDI + debt + remittances + aid)	Net result: Africa is a net creditor to the world

The question isn't "why can't Africa develop?" — it's "where did Africa's wealth go?"

PART VI**Syllabus Concepts Activated**

Nine core political economy concepts map onto the five issues covered in this lecture:

#	Concept	Application in This Lecture
1	Public Good	State provides order to sustain its tax base
2	Free Rider	Countries benefit from stable system without contributing
3	Market Failure	Real markets ≠ textbook; externalities, info gaps
4	Neoclassical Assumptions	Rarely hold in developing economies

5	Principal-Agent	Donors can't monitor recipients; bureaucrats' incentives diverge
6	Moral Hazard	"Too big to fail" logic in sovereign borrowing
7	Median Voter	Only constrains policy where democracy functions
8	Economy of Scale	Integration enables specialization — but for whom?
9	Transaction Costs	Markets need institutional infrastructure to function

Sources: World Bank PiP (2026); Evenett et al. (2024); Global Trade Alert; Fernandes & Reed (2026); AfDB (2025); UN Women; Global Footprint Network; Polity IV